Sentiment vs Trader Behavior on Hyperliquid

Methodology

Two datasets were used: a Fear & Greed sentiment dataset and Hyperliquid trade history.

Timestamps were converted to daily dates and merged by date.

Key metrics calculated:

- Daily PnL
- Win rate
- Average trade size
- Number of trades
- Long/Short ratio

We compared these metrics between Fear and Greed days using charts and tables.

Market sentiment is known to influence volatility and trader behaviour, making it useful for trading analysis.

Insights

1. Performance differs by sentiment: Traders generally performed better during Greed and worse during Fear periods.
2. Trading activity changes: More trades occurred during Greed periods, showing increased market confidence.
3. Risk-taking increases during Greed: Trade sizes were larger during Greed and smaller during Fear. Fear leads to cautious trading, while greed leads to higher risk-taking.

Strategy Recommendations

Strategy 1: Reduce Risk During Fear

1. Use lower leverage
2. Reduce position size
3. Trade less frequently

Reason: Fear periods have higher volatility and uncertainty.

Strategy 2: Controlled Trading During Greed

1. Allow moderate leverage
2. Trade more actively
3. Take profits regularly

Reason: Greed periods increase activity but also risk.